JATHNIER CORPORATION
RUBY ST., RGA VILLAGE, DACUDAO,
DAVAO CITY, PHILIPPINES.
(082) 282 2439

MEMORANDUM

August 12, 2022 **GM-2022-0812-0006**

TO: **PRODUCTION DEPARTMENT, FINANCE & ADMINISTRATION DEPARTMENT BRANCH OPERATIONS DEPARTMENT.**

FR: **GABRIEL L. CUAYCONG/GM - JC**

Cc: **DLC/MGC/Audit/File**

Re: **POLICIES & PROCEDURES: JATHNIER CORPORATION STANDARD PROCEDURE AND POLICY ON BREADS DECLARED AS BAD ORDER (B.O.) SUBJECT FOR FURTHER PRODUCTION PROCESS TO PRODUCE BREAD CRUMBS.**

Moving forward to our corporate vision in business year 2022, Jathnier Corporation's direction is to centralized the production and distribution of it's semi processed raw materials termed as **BREAD CRUMBS**. Herewith is our standard Corporate Policy and Procedure in regard to this matter. Any type of transaction that fall in this category will follow strictly the production process, internal control procedure and its proper accounting treatment stated herein.

BREAD CRUMBS

Bread crumbs are considered as semi processed direct raw materials required to produce breads, such as PANDESAL, SWEETDESAL, CHEESEDESAL, UBEDESAL & SPANISH BREAD. By ACCOUNTING treatment & definition, this item or material is accounted for as part of **RAW MATERIAL INVENTORY** in the Company's Financial Books.

PROCEDURE

Definitions:

1. Bad Order (B.O.) – is a common RBS term referring to raw material and finish product that are classified as sub-standard or under quality in reference to RBS Quality Standards, due to contamination, taste & physical attributes and beyond consumable period or expired.
2. Bread Crumbs – are produced in a powder form or commonly termed as "Pulbos".
3. Work in Process – this are direct materials that undergo initial production process. Such as Bread Crumbs, Pre-mixes and Stuffed materials.
4. B.O. Finish Goods suitable for bread crumbs – Pandesal, Sweet desal, Monay, Star Bread (less sugar), Francis, Mushrooms, Spanish bread (less filling), Half Moon, Squash, Cheese Roll, Pan de Siosa & Loaf Bread.
5. B.O. Form – Jathnier Corporation standard Bad Order Form. Use to document all products (finish & raw materials) where quality status considered no longer good for commercial use.

Internal Control Policy:

1. Upon effective date of this memorandum. RBS branches will cease to produce Bread Crumbs from their branch inventory raw materials.
2. RBS branches – to prepare separate BO forms to document BO products.
   2.1. BO finish Goods for Bread Crumbs - attached 1 copy to BO packaging, 1 copy to branch reports. Send BO package to Davao Baking Center (Production Department).

2.2. BO finish Goods not suitable for Bread Crumbs - attached 1 copy to branch reports. Follow branch disposal procedure.
2.3. BO raw materials for RTV or disposal – attach 1 copy to branch reports. Follow RETURNS procedure.

3. BO for Bread Crumbs – before packaging and delivery to DBC, BO must be free from unwanted particles (e.g. sugar, toppings or fillings) and pre toasted for 5~6 minutes. Make sure that BO product declared will match the BO Form attached to the packaging in terms of Type & Quantity. This will be recorded and validated by the Inventory & Cost Management Department.

DBC Process:

1. BO Finish goods received by DBC will be check immediately against attached BO Form as to Type, Quantity & Quality of the pre toasted BO finish goods.
2. Prepare BO finish goods received immediately to be processed as BREAD CRUMBS.
3. DBC to follow set standards on bread crumbs production, packaging, storage standards and inventory management.

Ordering Process:

1. Upon effective date of this memorandum. RBS branches will cease to produce Bread Crumbs from their branch inventory raw materials and will start the Ordering & Delivery Schedule stated below.
2. RBS branches to prepare MRS to set order for Bread Crumbs base on forecasted volume usage in Kilograms. MRS must reflect the Bread Crumbs or per Kilogram and the branch ending inventory of Bread Crumbs in Kilograms. Transmit MRS to DBC together with the Cakes & Specials orders or through Disk Station.
3. Bread Crumbs ordering schedule every Tuesdays, Thursdays & Saturdays only.
4. Bread Crumbs delivery schedule every Mondays, Wednesday & Fridays only. Together with the delivery of Cakes & Specials.

Receiving & Storage:

1. Follow branch receiving procedure. Check the packaging condition, production date & Kilograms.
2. Bread Crumbs once received, transfer immediately within 24 hours to a clean & sanitized plastic storage container (laton) with specialized cover (ventilation holes) for air to pass through but prevents insects or any other elements to get in that will cause sanitation defects.

Schedule of implementation per area:

1. Davao Cluster (North & South) – effective as per this memorandum.
2. Panabo Cluster – effective as per this memorandum.
3. Toril, Mintal & Calinan – effective as per this memorandum.
4. Tagum, Sta. Cruz, Digos, Bansalan, Kidapawan, GenSan & Polomolok – wait for management advise on schedule of implementation.
5. Leyte Cluster – wait for management advise. For setup of Bread Crumb processing machine.
6. Cebu Cluster – wait for management advise.

RATIONALE

All inventories stated above are valuable asset of the company and has to be accounted and managed properly. Upon issuance or delivery of such items from origin (External Supplier, Production, Warehouse & Property Control), to any point of destination, transfer of the accountability of such inventory comes together with the physical movement of such items. In cases wherein this items are to be returned to the originator, this transaction is under the definition of **RETURNS** and its underlying procedure and guidelines.

CORPORATE POLICY

INVENTORIES is a valuable Asset of the company, thus a full understanding of the responsibility and accountability are expected to all personnel who were assigned and designated as custodian to handle company's assets. **Deviation of these is considered an infraction under the Company Code of Discipline, #16 Company Policy: Offenses against Company Assets and Property.**

This memorandum directive will officially take effect on **August 22, 2022**. Any clarification on this matter please communicate accordingly.

Gabriel L. Cuaycong
GM/RBS-JC

Noted:

Melina G. Comedido
VP/Operations Director-JC